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Presents



Session 02 – Understanding Option Chain page and OI Analysis

21st July 2022, Thursday, 8pm ~ 10pm

Santosh Kumar Pasi

Founder, Pasi Technologies; Co-founder, Sonic Alpha



Presents

Understanding Option Chain page and OI Analysis

Santosh Kumar Pasi



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Speaker Introduction



Santosh Pasi

- Founder of **Pasi Technologies** [www.pasitechnologies.com]
- Co-founder of **Sonic Alpha** [www.sonicalpha.com]

Pasi Technologies

- Pasi Technologies into training and option-related tools.
- Tools: OptionsOracle and OpStrater

Sonic Alpha

- Sonic Alpha is a quantitative research firm with a focus on building quantitative trading algorithms that help to generate consistent excess returns over the benchmark (alpha) focusing on:
 - Data-driven approach
 - Efficient execution
 - Risk and money management

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Disclosure and Disclaimer

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Today's Agenda

A Session well planned is half done already

- Option Chain Components
- OI vs Volume
- OI vs Change in OI
- PUT CALL Ratio: Calculation for Series
- PUT CALL Ratio: Using Strikes
- PUT CALL Ratio: For Direction Prediction
- Max OI: For Support and Resistance
- ATM Premium: For Support and Resistance
- Buildup, Covering and Unwinding
- Limitations
- Questions and Answers



Option Chain Page

Eat all the pending orders

View Options Contracts for:

Select Symbol

Expiry Date

NIFTY

OR

Select

21-Jul-2022

Underlying Index: **NIFTY 16,340.55** As on 19-Jul-2022 15:30:00 IST

CALLS											PUTS											
	OI	CHNG IN OI	VOLUME	IV	LTP	CHNG	BID QTY	BID PRICE	ASK PRICE	ASK QTY	STRIKE PRICE	BID QTY	BID PRICE	ASK PRICE	ASK QTY	CHNG	LTP	IV	VOLUME	CHNG IN OI	OI	
	3,156	-1,566	12,683	-	<u>528.00</u>	36.90	50	527.40	529.95	950	<u>15,800.00</u>	150	3.70	3.80	3,000	-3.20	<u>3.80</u>	25.04	9,21,095	34,632	1,21,713	
	1,300	-343	1,571	-	<u>481.00</u>	37.45	300	465.20	481.30	300	<u>15,850.00</u>	50	4.35	4.55	1,500	-4.90	<u>4.00</u>	23.33	5,65,108	-313	49,468	
	7,833	-1,466	23,320	-	<u>431.00</u>	37.05	300	429.85	431.50	50	<u>15,900.00</u>	50	5.75	5.80	2,000	-5.90	<u>5.85</u>	23.01	10,32,311	6,035	96,503	
	5,129	-1,065	7,515	-	<u>383.80</u>	35.70	100	380.55	383.80	1,150	<u>15,950.00</u>	2,800	7.20	8.00	1,000	-7.30	<u>8.00</u>	22.41	6,42,177	6,821	48,238	
	23,092	-11,335	1,89,393	-	<u>333.30</u>	28.15	250	333.80	336.00	250	<u>16,000.00</u>	900	9.40	9.85	200	-10.50	<u>9.80</u>	21.21	17,46,952	-3,975	1,23,544	
	4,354	-3,932	51,526	-	<u>288.00</u>	26.95	100	287.00	289.80	100	<u>16,050.00</u>	550	12.65	13.45	450	-13.50	<u>13.15</u>	20.45	7,87,542	-4,927	37,217	
	12,258	-12,545	3,61,286	-	<u>243.10</u>	23.50	50	242.55	244.00	50	<u>16,100.00</u>	200	18.05	18.50	2,350	-17.35	<u>18.05</u>	19.81	16,17,482	-18,587	83,678	
	9,110	-1,183	2,29,788	9.54	<u>201.30</u>	20.10	50	199.05	201.65	400	<u>16,150.00</u>	950	24.60	25.50	1,450	-22.25	<u>24.60</u>	19.15	10,95,540	951	45,534	
	47,853	-22,076	17,16,489	11.89	<u>160.40</u>	14.30	1,750	160.00	160.80	500	<u>16,200.00</u>	300	35.10	35.45	450	-26.05	<u>35.45</u>	19.02	28,58,534	37,539	1,54,174	
	15,824	-7,413	13,33,738	12.63	<u>123.00</u>	8.60	250	123.00	124.70	50	<u>16,250.00</u>	350	48.20	48.70	50	-31.80	<u>48.60</u>	18.64	15,17,760	18,512	49,118	
	86,477	3,839	39,70,403	13.16	<u>91.20</u>	3.75	22,750	91.00	92.95	100	<u>16,300.00</u>	300	65.80	66.80	50	-36.00	<u>66.80</u>	18.55	27,28,900	59,480	98,915	
	38,523	3,863	17,26,939	13.58	<u>65.30</u>	0.80	400	65.30	66.40	100	<u>16,350.00</u>	150	88.90	89.70	250	-39.85	<u>89.70</u>	18.54	6,14,382	9,412	16,978	
	1,05,930	16,966	28,39,040	13.87	<u>44.80</u>	-1.25	50	44.80	45.00	8,600	<u>16,400.00</u>	50	118.40	119.65	50	-41.95	<u>119.05</u>	18.96	6,04,871	11,552	20,470	
	40,430	12,976	12,51,181	13.86	<u>28.50</u>	-2.40	200	28.05	28.50	150	<u>16,450.00</u>	50	151.30	154.25	100	-44.20	<u>152.15</u>	19.31	82,335	1,636	2,782	
	1,13,568	8,847	26,97,662	13.67	<u>16.50</u>	-3.85	2,050	16.50	16.90	50	<u>16,500.00</u>	100	190.25	191.50	500	-45.75	<u>190.25</u>	20.02	2,11,926	2,774	8,370	
	67,651	20,530	11,93,450	13.52	<u>8.90</u>	-3.70	2,100	8.55	8.90	150	<u>16,550.00</u>	100	232.05	234.85	100	-44.30	<u>232.20</u>	21.06	10,166	391	693	
	1,55,832	43,041	20,35,149	13.54	<u>4.65</u>	-2.85	150	4.60	4.70	50	<u>16,600.00</u>	50	277.50	280.20	200	-45.15	<u>279.25</u>	23.12	26,435	208	1,795	
	41,615	10,725	6,22,439	13.99	<u>2.70</u>	-1.85	100	2.50	2.70	3,100	<u>16,650.00</u>	200	325.30	328.35	100	-45.45	<u>324.75</u>	24.40	1,197	117	190	
	85,616	18,442	11,77,214	14.42	<u>1.55</u>	-1.35	25,500	1.55	1.60	16,500	<u>16,700.00</u>	50	375.00	377.75	250	-42.85	<u>375.60</u>	27.31	7,436	5	611	
	28,218	7,671	3,37,184	15.11	<u>1.00</u>	-1.00	4,700	1.00	1.15	200	<u>16,750.00</u>	100	423.65	426.75	200	-40.85	<u>422.95</u>	28.85	977	170	229	
	64,257	15,888	6,82,570	16.45	<u>0.90</u>	-0.65	37,100	0.90	0.95	12,200	<u>16,800.00</u>	200	473.40	476.75	100	-41.90	<u>473.00</u>	31.30	4,017	127	539	



OI and Volume

Eat all the pending orders

- Open Interest is the total number of outstanding contracts
- Volume is number of contracts traded per day

OI	Volume
Increases when traders open new trades.	Increases when traders open new trades.
Decreases when traders close trades.	Increases when traders close trades.
Indicates cash flowing in and out of the market.	Running total of all transactions for a contract.
OI is used to gauge strength of trend.	Volume is used to verify the liquidity on intraday basis.
OI at the start of day will have some numbers (generally). It may increase or decrease or stay same, based on change.	Volume at opening will be zero and as day progress. It increases as day progresses



OI and Volume

Eat all the pending orders

- Example



On a new trading day	Total CALL	Total PUT	Option Volume		Open Interest	
Opening of Market			0	Total	N	Total
Jai, Long 5 CALLs (Veeru Shorts 5)	5	0	+5	5	+ 5	N + 5
Sambha, Short 2 PUTs (Gabbar Longs 2)	5	2	+2	7	+2	N + 7
Veeru buy back 1 CALL from Jai	4	2	+1	8	-1	N + 6
Sambha, Long 2 CALLs from Jai (Square-off)	4	2	+2	10	0	N + 6



Change in Open Interest

Eat all the pending orders

Buyer	Seller	Change in Open Interest
Buys new long	Sells new short	Increases
Buys new long	Sells old long	No change
Buys old short	Sells new short	No change
Buys old short	Sells old long	Decrease



PUT CALL Ratio

Eat all the pending orders

$PCR = \text{TOTAL PUT OI} / \text{TOTAL CALL OI}$



PUT CALL Ratio (For Direction)

Eat all the pending orders

PCR Range	Interpretation	Remark
0.0 to 0.4	Strongly Bearish	Be cautious, you may be at support.
0.4 to 0.8	Bearish	
0.8 to 1.2	Sideways	
1.2 to 1.6	Bullish	
1.6 and above	Strongly Bullish	Be cautious, you may be at resistance.



PUT CALL Ratio (For Direction)

Eat all the pending orders

PCR Range	Interpretation	Remark
0.0 to 0.4	Strongly Bearish	Be cautious, you may be at support.
0.4 to 0.8	Bearish	
0.8 to 1.2	Sideways	
1.2 to 1.6	Bullish	
1.6 and above	Strongly Bullish	Be cautious, you may be at resistance.



Max OI for support and resistance

Eat all the pending orders

- Concept
 - MAX OI PUT = support
 - MAX OI CALL = resistance



Max OI for support and resistance

Eat all the pending orders

- Examples:

- NIFTY
- BANKNIFTY
- SBIN
- HDFCBANK



ATM Premium for Support/Resistance

Eat all the pending orders

- Let's see example



Build-up, Covering and Unwinding

Eat all the pending orders

OI	Price	Interpretation	Trend
Increase	Increase	Long Buildup	Bullish
Increase	Decrease	Short Buildup	Bearish
Decrease	Increase	Short Covering	Bullish weakening
Decrease	Decrease	Long Unwinding	Bearish weakening

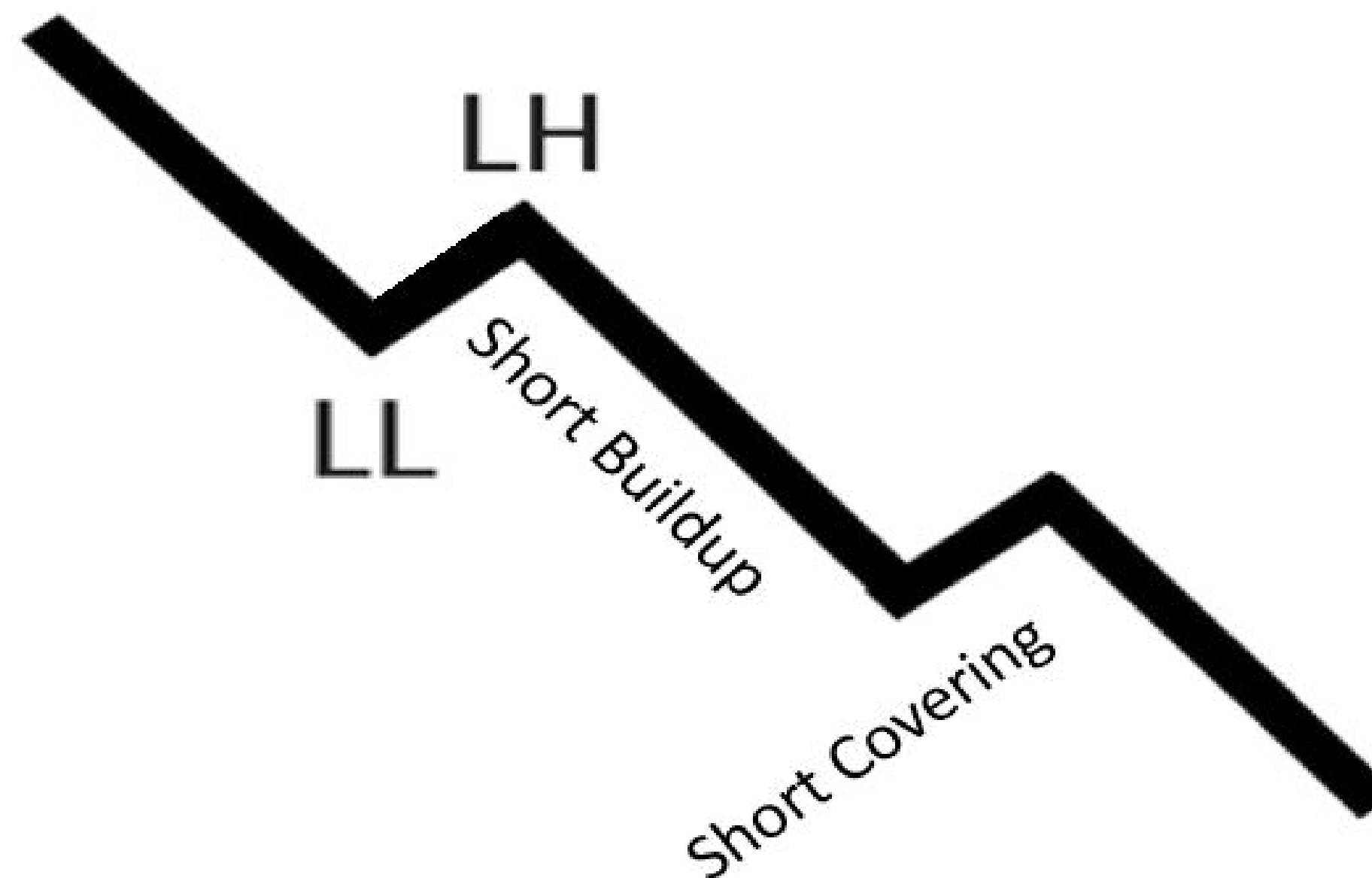
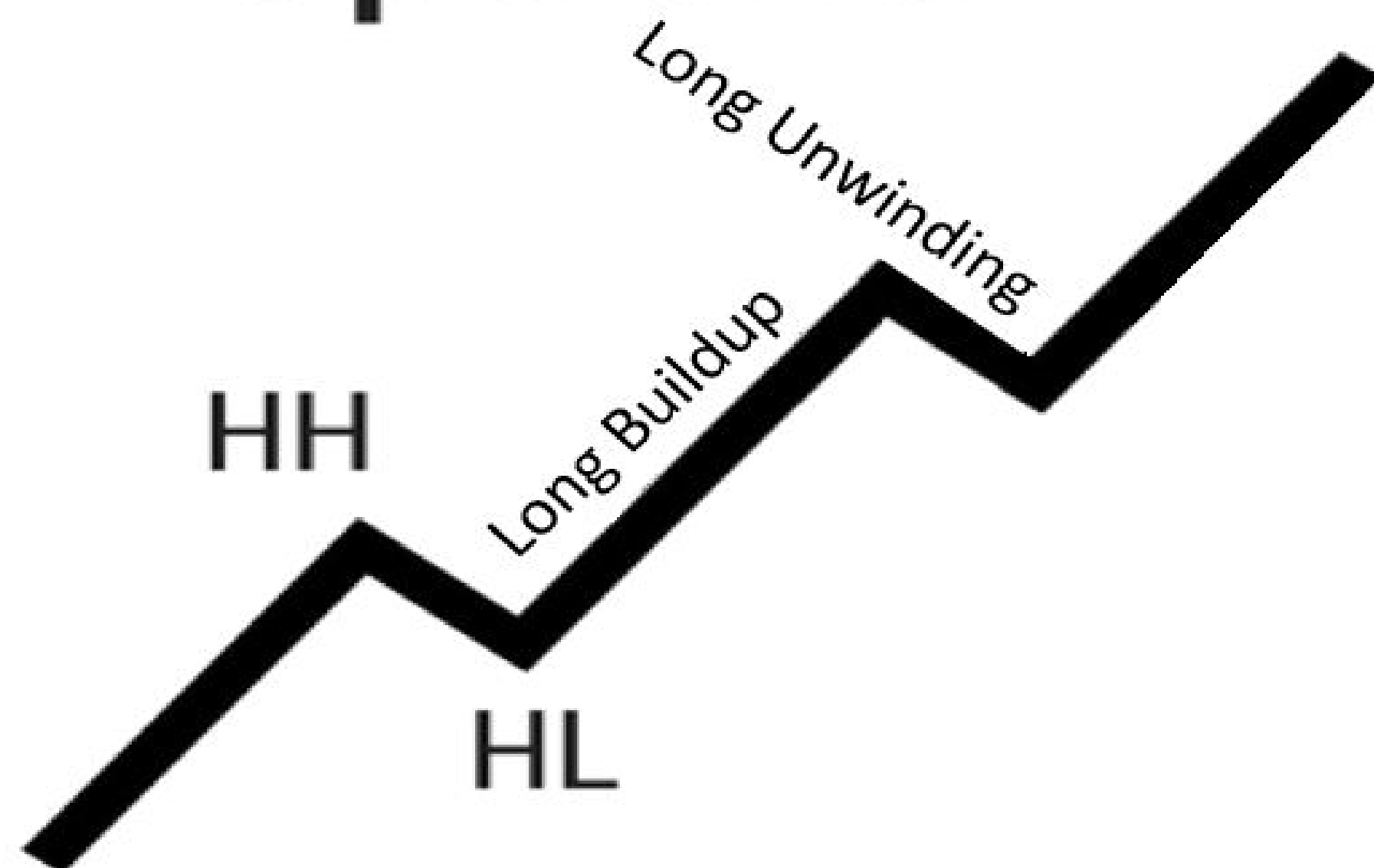


Build-up, Covering and Unwinding

Eat all the pending orders

Uptrend

Downtrend





Note:

Eat all the pending orders

- Avoid if total OI is less (10 Lk shares)
- Avoid using for NEXT or FAR series (if OI is less).
- Be cautious on expiry day, as the rollover is going on.



Summary

Eat all the pending orders

- Max OI can be used to guess nearest Support and Resistance.
- PCR can be used to predict direction.
- Change in OI can predict shift in Support/Resistance level.



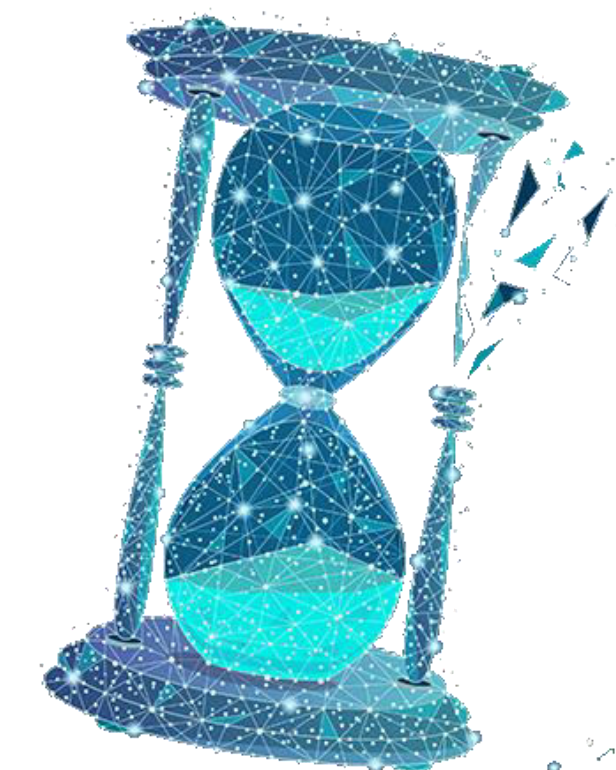
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The offer expires on July 28, 2022 (Coming Weekly Expiry)

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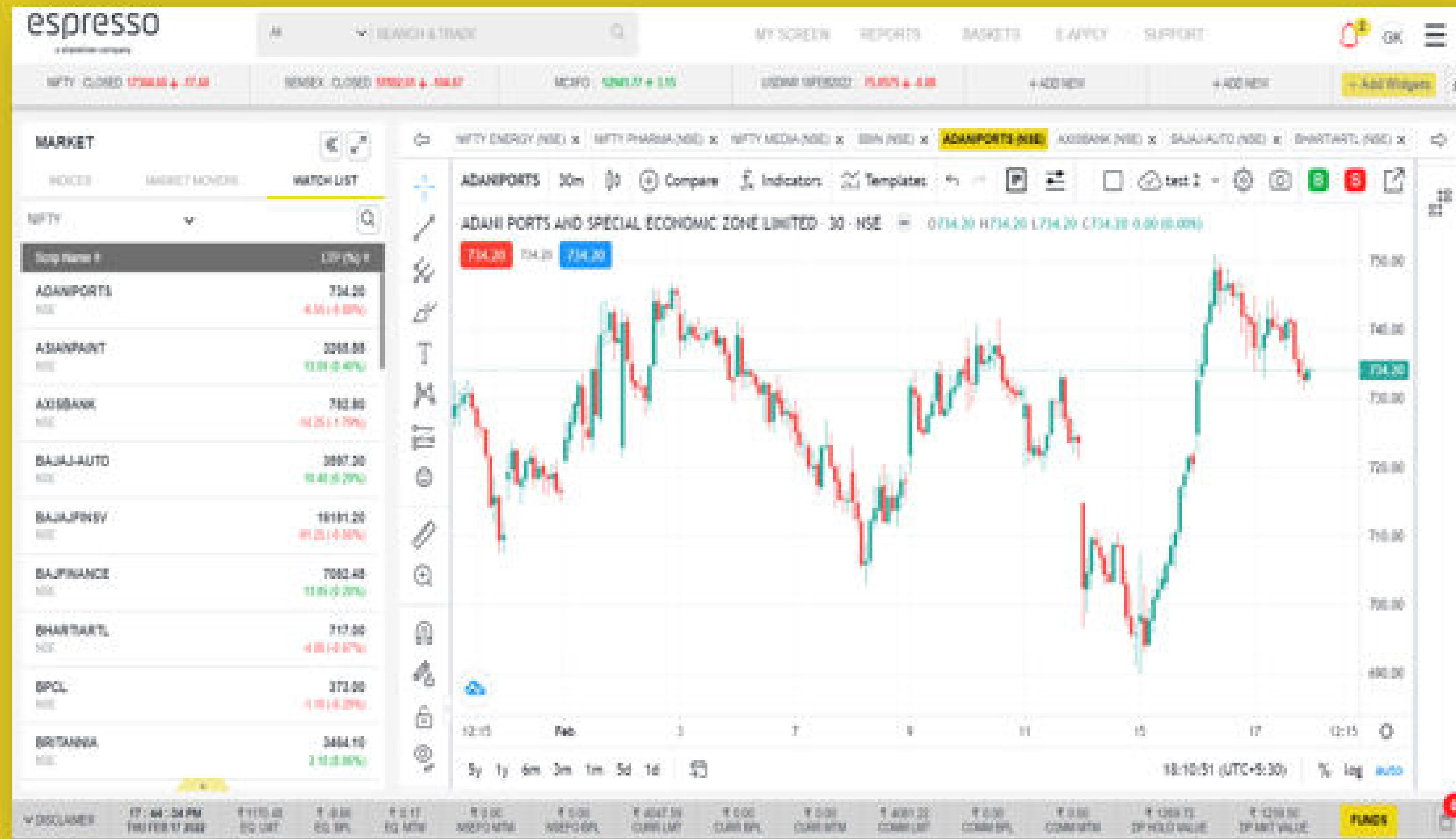
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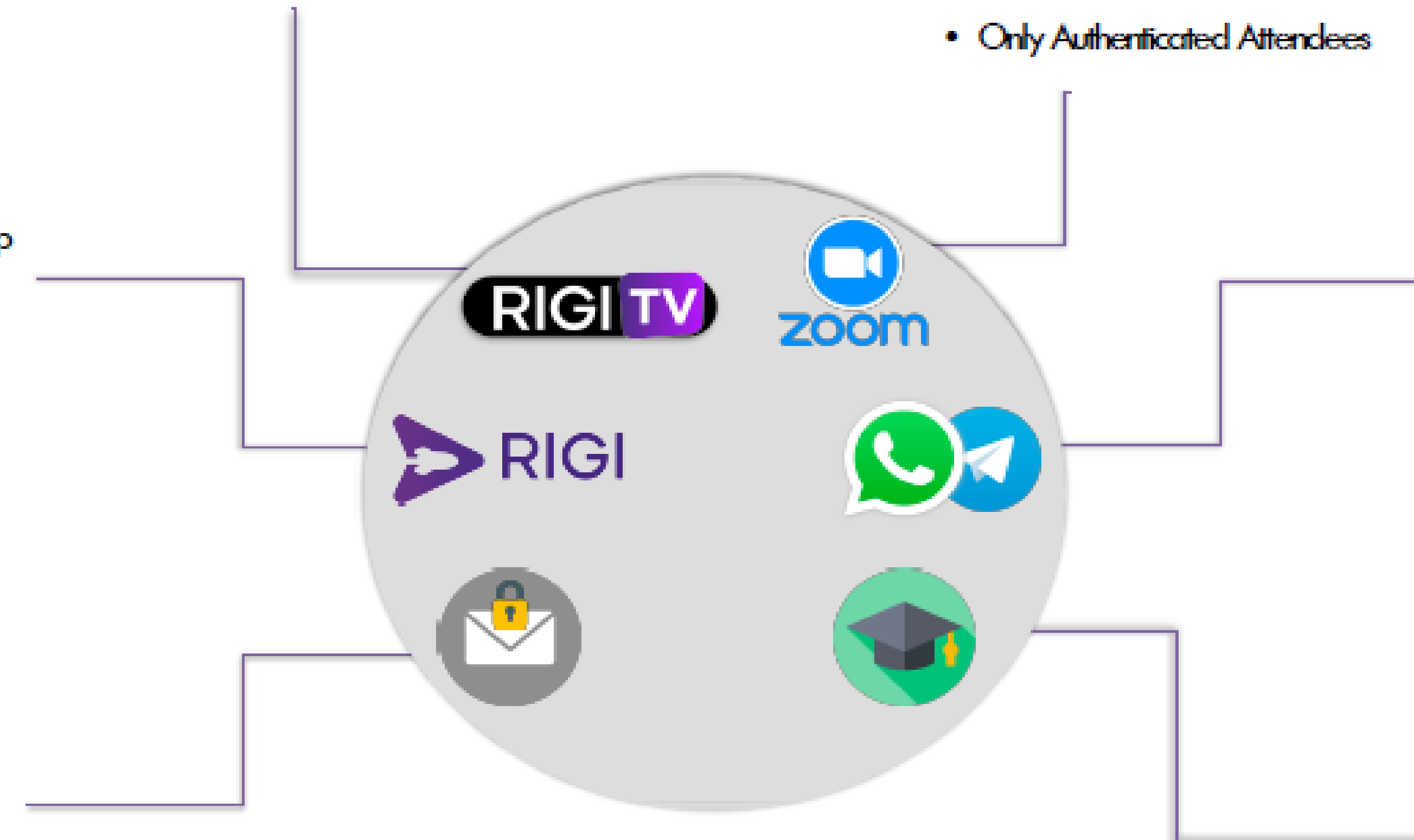
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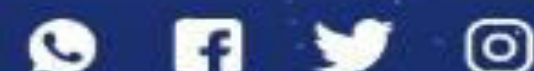
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2nd Quiz of the Series

What trend Interpretation we can do when PCR range is between 0.8 to 1.2?

Winner Reward

1. Daily one winner will be selected.
2. All the 12 winners of each day will have free access to the Intrazon event of 2022 with life time recording access
3. There is a **Man of the Option Omega Series award** for 1 winner who should win at least 3 times in the 12 day series.
4. He will get **Educational goodies worth 100000/-** from Traders Gurukul

Quiz 01 - Winner

What is the formula to calculate “Implied Volatility Ranking” which Learnt from Last Session?



shekhar

The Answer is $100 * \frac{(the\ current\ IV\ level - the\ 52week\ IV\ low)}{(the\ 52\ week\ IV\ high - 52week\ IV\ low)}$

Questions & Answers

Lets clear your confusions?





Thank you

Santosh Kumar Pasi

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